PepsiCo PEP

NasdaqGS · Consumer Defensive · Beverages - Non-Alcoholic · USD · Price date 06.11.26

FAIR VALUE	PRICE	MARGIN OF SAFETY	ALPHA, ANNUAL	MARKET CAP	DIVIDEND YIELD
185.72	141.34	+31.4%	+33.5%	192.6bn	4.6%
DDM	USD, close 06.11.26	$V_0 / P_0 - 1$	IR 2.18	USD	DO USD 6.53

1 · INVESTMENT CASE

FAIR VALUE VS PRICE

The Gordon model gives USD 185.72, against a price of USD 141.34. At a cost of equity of 6.62%, the price implies only 1.9% growth forever, below the 3.1% organic revenue growth of Q3 [1]. The market has priced the cut in 2026 EPS guidance [1], not the cost programme agreed with Elliott, which targets at least 1 point of margin by 2028 [2].

MARGIN OF SAFETY AND ALPHA

Margin of safety +31.4%, alpha +33.5% a year (IR 2.18), assuming the gap closes within one year.

CATALYST

Update on the North America supply chain and go-to-market · `Late 2026 (company)`. Promised to analysts and investors for late 2026 in the agreement with Elliott [2]; no date set yet. Figures on an integrated food and drinks network and its savings would make the margin target concrete.

New structural cost actions · `Coming months (company)`. Announced with Q3: actions are being identified and will be implemented in the coming months [1]. Savings that fund price investment and volume would lift the earnings path the market discounts.

DECISION

Long candidate. We buy: the widest margin of our three (+31%), the only one above our 25% rule, and the comparables (USD 167.55) are above the price too. A defensive stock with dated news from management inside the challenge.

2 · VALUATION: DIVIDEND DISCOUNT MODEL

WHY THIS METHOD

PepsiCo is mature and pays out most of its earnings: USD 8.9bn of cash returns planned for 2026, of which USD 7.9bn in dividends [1]. Bloomberg's long-term growth of 3.4% is close to the long-run rate, so one stage is enough: the Gordon model with growth of 3.0%.

METHODS THAT DO NOT FIT

Two stages add little when g1 is this close to g2. P/B (8.65x) says little: the brands were built in-house and are not on the balance sheet, and leverage shrinks the equity. Coca-Cola sold its bottlers and has other margins, so the comparables are only a double check.

DDM INPUTS

INPUT	VALUE	SOURCE OR REASON
P_0, price	USD 141.34	Close 06.11.26, not adjusted
D_0, dividend	USD 6.53	Dividends, 12 months + last FY buybacks per share
β	0.40	Override in the workbook
r_f, 10-year yield	4.84%	FRED DGS10, 05.11.26
ERP	4.46%	Damodaran, United States, 5 Jan 2026
$k = r_f + \beta$ ERP	6.62%	CAPM
g_1, first stage	not used	Gordon: one growth rate
T, years	not used	
g_2, terminal	3.0%	Long-run nominal growth, near the 3% organic growth of 2026 [1]; ours
Gordon value	**USD 185.72**	**+31% vs price**
Two-stage value	USD 187.82	+33% vs price

SENSITIVITY: TERMINAL GROWTH AND COST OF EQUITY

k \ g_2	2.0%	2.5%	3.0%	3.5%	4.0%
5.62%	183.91	214.39	256.49	318.41	418.45
6.12%	161.62	184.81	215.44	257.74	319.95
6.62%	144.14	162.41	**185.72**	216.49	258.98
7.12%	130.07	144.85	163.20	186.62	217.53
7.62%	118.51	130.71	145.55	163.99	187.52
Upside	+2%	+15%	+31%	+53%	+83%

Gordon DDM value, USD. Shaded: at or above the price of 141.34. Dark: base case. Upside at the base k.

The value stays above the price in 22 of 25 cases. It reaches the price only if k rises by about 1.1 points or growth falls to about 1.9%, the rate the price implies.

3 · COMPARABLE COMPANIES: A DOUBLE CHECK

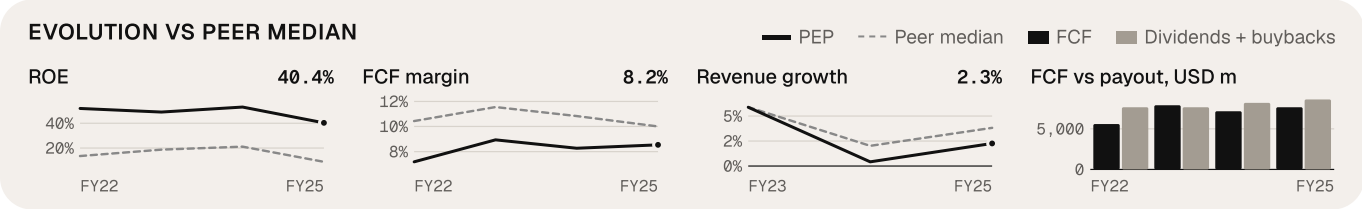
COMPANY	CAP, BN	FWD P/E	P/FCF	EV/EBITDA
KO Coca-Cola	411.6	27.1x	77.7x	25.2x
KDP Keurig Dr Pepper	49.9	14.4x	33.5x	17.2x
MDLZ Mondelez	83.6	19.6x	25.8x	13.9x
MNST Monster Beverage	89.5	35.2x	46.1x	29.0x
GIS General Mills	19.0	11.3x	11.7x	9.4x
KHC Kraft Heinz	29.1	11.9x	8.0x	8.4x
Peer average		19.9x	33.8x	17.2x
Peer median		17.0x	29.7x	15.5x
PEP PepsiCo	**192.6**	**16.4x**	**25.1x**	**12.2x**
Implied price at peer average		172.19	190.29	211.77
Implied price at peer median		147.17	167.02	188.46

Comps value USD 167.55 (+19%): average of the median implied prices in shaded columns. P/FCF on last FY's FCF. n/m: negative or above 100x.

4 · VALUE-TRAP CHECK

CHARACTERISTIC	METRIC	FY25	PEER MEDIAN	OWN PAST AVG.	VS PEERS	TREND	
Profitability	ROE	40.4%	8.8%	51.4%	better	worsening	
Profitability	ROA	7.7%	3.6%	9.4%	better	worsening	
Profitability	FCF margin	8.2%	10.0%	7.7%	worse	improving	
Growth	Revenue growth	2.3%	3.8%	3.1%	worse	worsening	**Red flag**
Growth	Gross margin	54.1%	43.9%	53.9%	better	improving	
Safety	Debt / equity	2.45	0.84	2.40	worse	worsening	**Red flag**
Payout	Payout / FCF	1.13	0.98	1.16	worse	improving	

Earnings test: adjusted EPS 8.14 (FY25) → 8.42 → 8.64 (forward): rising. Trailing GAAP EPS of 7.95 is close to the adjusted figure.



WATCH **Red flags or falling earnings, not both: watch, not a trap.** Watch: revenue grows slower than peers and debt is 2.4 times equity. Earnings are not falling: core EPS rose 2% in Q3 [1]. Dividends and buybacks exceeded FCF in FY25, so part of the payout is borrowed. **The business is sound; the payout is the point to watch.**

5 · ALPHA

ASSUMPTION	FORMULA	α, annual	IR
Gap closes in 1 year	α closed = $(1 + k)(V_0 - P_0) / P_0$	+33.5%	2.18
Gap never closes	α never = $D_1 / P_0 + g - k$	+1.1%	0.07
Used: closes in 1 year	**Goes into Treynor-Black**	**+33.5%**	**2.18**

Two company events are due before the end of the year [1][2], so we assume the gap closes within a year (α closed). Analysts' target is near the price, so this alpha is an upper bound. IR 2.18, against 0.64 for Buffett.

6 · SPECIFIC ISSUES

MAIN RISK: LEVERAGE AND THE PAYOUT

With dividends and buybacks at 1.13 times FCF and high debt, a further profit cut would put pressure on buybacks first. North American drinks volume fell 3% in Q3 [1]. If the cost plan slips, the market may keep pricing growth near 1.9%.

UPSIDE: AN ACTIVIST AND MANAGEMENT QUALITY

Elliott took a stake of about USD 4bn in 2025 [3]. The agreement brought a supply-chain review, nearly 20% fewer US products and board refreshment [2]. CEO Ramon Laguarta must now deliver the margin target, under activist scrutiny.

Model flags: *IR of 2.18 is above Buffett's 0.64: the alpha is probably too optimistic.*

[1] PepsiCo, Q3 2026 results, 8 Oct 2026. [2] PepsiCo, priorities to enhance shareholder value, 8 Dec 2025. [3] Reuters via Investing.com, PepsiCo to review supply chain amid Elliott talks, 8 Dec 2025. Market data: Yahoo Finance and FRED, downloaded 07.11.26.